

out money for its payables, as these are effectively an interest-free loan (short-term interest-bearing debt was excluded from current liabilities for this calculation). In addition to working capital requirements, a company must also fund the purchase of fixed assets necessary to conduct its business, such as real estate, plant, and equipment. The depreciated net cost of these fixed assets was then added to the net working capital requirements already calculated to arrive at an estimate for tangible capital employed.⁴

We took the same 2,500 companies and ranked them on their return on capital. We then combined the two rankings—one based on the earnings yield and the other on return on capital. Effectively, we equally weighted these two measures by adding the two rankings, which gave us the best combination of cheap and good. If a company ranked number one based on earnings yield and 250 based on return on capital, its combined rank value would be 251. We weren't looking for the cheapest companies, and we weren't looking for the best companies. We were looking for the best combination of cheap and good companies. In the book, I called this combined ranking the *Magic Formula*.

During the 23 years of our backtest, using the Magic Formula to choose a portfolio of the top 30 names from the 1,000 largest capitalization stocks would have approximately doubled the return of the S&P 500 (19.7 percent versus 9.5 percent). (Selecting portfolios from the 2,500 largest companies would have had an even larger outperformance, but would have required holding less liquid smaller cap stocks.) The decade of the 2000s was particularly interesting. During 2000 to 2009, the formula still managed to deliver an average annualized return of 13.5 percent, even though the S&P 500 was down nearly 1 percent per year during the same period.

The power of value investing flies in the face of anything taught in academics. Value is the way stocks are eventually priced. It requires the perspective of patience because the market will eventually gravitate toward value.

We also divided the formula rankings into deciles with 250 stocks in each decile. Then we held those stocks for a year and looked at how each of the deciles did. We repeated this process each month, stepping through